

Q Discuss the quantity Theory of Money?

Q Define liquidity and evaluate its advantages and disadvantages.

Model A

* Explain the main functions of money?

Q Define income and wealth?

Model B

* Explain main difficulties of the system?

Q Describe primary and secondary function of money?

Model C

Q There are three methods of notes issuance. Mention them?

Q Discuss the role of money as a medium of exchange?

Model D



UNIVERSITY OF SUDAN
FACULTY OF COMMERCE
Khartoum

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							20 minutes



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11- Represents a measure of inflation.

- A- Consumer Price Indexes (CPIs)
B- Product Price Indexes (PPIs)
C- Wholesale Price Indexes
D- All the above

12- A owns a camel that he wants to trade for a goat. However, there are no sellers of goats in the market. This is an example of:

- a) Lack of Double coincidence of wants
b) Existence of Double coincidence of wants
c) Simultaneous coincidence of wants
d) Sequential coincidence of wants

13- Which of the following is the thing that is generally accepted by everyone as a medium of exchange?

- a) Money
b) Goods
c) Services
d) None of the above

14- Which function allows the payment to be delayed till future date?

- a) Medium of exchange
b) Measure of value
c) Store of value
d) Standard of deferred payments

15- Under barter system goods were exchanged with

- a) Cash Currency
b) Coins
c) Goods
d) Services

16- Medium of exchange and measure of value comes under which function of money

- a) Formal function
b) Fiscal function
c) Primary function
d) Monetary function

17- Which of the following is not a problem of barter system of exchange?

- A- Store of value
B- Double coincidence of wants
C- Unit of account
D- Unemployment

18- Which of the following concepts is the opposite of inflation?

- a. stagflation
b. Deflation
c. Recession
d. None of the above

19- Inflation is measured by.....

- a. smith's index
b. sale price index
c. Consumer price index
d. None of the above

20- Purchasing power of money falls when:

- A- Price level rises.
B- Income falls.
C- Price level falls.
D- Money supply falls.



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First: choose the correct answer:

Model (F)

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6- Which of the following is not a function of money?

- (a) Medium of exchange
- (b) Price stability
- (c) Store of value
- (d) Unit of account

7- The money developed in the form of credit money is referred to as

- A- Bank money
- B- Commodity money
- C- Electronic money
- D- Fiat money

8- Stagflation called

- A- Recession with stagnation
- B- Inflation & increasing output
- C- Inflation galloping like stage
- D- Inflation with stagnation

9- refers to coins prepared out of various metals like Gold, Silver, Bronze, Nickel etc.

- A- Animal money
- B- Commodity money
- C- Metallic money
- D- Fiat money

10- This exchange of goods for goods was known as

- A- Money
- B- Barter
- C- Payments
- D- Commodity